



Valuation of

**David Colbert MD, PC d/b/a
New York Dermatology
Group**

as of April 30, 2025



274 Marconi Boulevard • Suite 140 • Columbus, OH 43215
Phone: (614) 448-3700

June 25, 2025

Dr. David Colbert MD, PC
New York Dermatology Group
119, 5th Ave, 2nd Floor
New York, NY 10003

Dear Dr. Colbert:

This letter and accompanying report present our estimation of the Fair Market Value of the 1% Membership Interest of David Colbert MD, PC d/b/a New York Dermatology Group, as of April 30, 2025. (Hereinafter, this interest is referred to as the “Subject Interest.”) We understand that this valuation will be used for management planning purposes in connection with a potential sale of the Company.

Based on our analysis contained within the accompanying report, we estimate the Fair Market Value of the Subject Interest as of April 30, 2025 to be:

\$11,100,000

A detailed description of our procedures, methodologies, assumptions, and conclusions is contained in the accompanying report. This valuation is subject to the assumptions and limiting conditions outlined in Exhibit A of the attached report. This letter should not be separated from, nor considered independent of, the attached report of which it is a part.

Respectfully submitted,

WR Valuation

WR VALUATION



274 Marconi Boulevard • Suite 140 • Columbus, OH 43215
Phone: (614) 448-3700

TABLE OF CONTENTS

I.	Overview	1
II.	Financial Statement Analysis	4
III.	Economic & Industry Outlook	9
IV.	Valuation Methodology	14
V.	Guideline Transaction Method	21
VI.	Discounted Cash Flow Method	21
VII.	Reconciliation of Valuation Methods and Conclusion	27

EXHIBITS

A.	Assumptions and Limiting Conditions.....	29
B.	Qualifications of Valuation Professionals and Representations	32
C.	Valuation Schedules.....	36

Section I

Overview

Company Synopsis

David Colbert MD, PC d/b/a New York Dermatology Group (“NYDG” or the “Company”) operates as a medical and aesthetic dermatology practice, offering advanced treatments in skincare, wellness and performance enhancement under the leadership of Dr. David A. Colbert. The Company was founded in 1995, and currently has 29 employees (24 full time and 5 part time) and 3,500 active customers. NYDG’s headquarters and current operations are located in New York, New York, and it posted revenue and pretax profit of \$10.81 million and \$151,000, respectively, in fiscal 2024.

Description of the Engagement

This report presents our estimation of the Fair Market Value of the Subject Interest on a marketable, non-controlling-interest basis, as of April 30, 2025 (the “Valuation Date”). We understand that this valuation will be used for management planning purposes in connection with a potential sale of the Company.

Standard of Value

In performing our valuation, the term “Fair Market Value” is defined as the price at which property would exchange between a willing buyer and a willing seller, when the former is not under any compulsion to buy and the latter is not under any compulsion to sell, both having reasonable knowledge of the relevant facts (Treas. Regs. §20.2031-1(b) and §25.2512-1; Rev. Rul. 59-60, 1959-1 C.B. 237).

The term “property”, as used in the above paragraph, reflects the combined tangible and intangible assets of a company, as components of a going concern, and gives consideration to all known liabilities. The buyer and seller discussed above refer to hypothetical parties, and

therefore specific incentives or attributes of particular buyers and sellers may not be the same as the hypothetical buyer and seller from which Fair Market Value is determined. For purposes of this engagement, we define the term “non-marketable” to mean privately held and not actively traded in established public markets.

Factors Considered

In accordance with Revenue Ruling 59-60, 1959-1 C.B. 237, we considered the following factors in performing our analysis:

- The nature of the business and the history of the Company from its inception;
- The economic outlook in general and the condition and outlook of the industry in which the Company operates;
- The book value of the stock and the financial condition of the Company;
- The earning capacity of the Company;
- The dividend-paying capacity of the Company;
- Whether goodwill or other intangible value exists within the Company;
- Previous sales of the Company’s stock and the size of the block of stock to be valued; and
- The market prices of stocks of corporations engaged in the same or a similar line of business having their stocks actively traded in a free and open market, either on an exchange or over-the-counter.

Information Reviewed

The primary sources of information used in this valuation are as follows:

- Interviews and discussions with Dr. David Colbert, Owner of NYDG;
- NYDG's internal financial statements for the fiscal year ended December 31, 2024;
- NYDG's corporate income tax returns (IRS Form 1120S) for the fiscal years ended December 31, 2022 through 2023, prepared by Rothenberg & Peters, PLLC;
- The Company's website – www.nydermatologygroup.com;
- Various management-prepared documents, lists, marketing materials, and schedules; and
- Various publicly available information, documents, and data, which are referenced throughout this valuation report.

Section II

*Company Background & Financial
Statement Analysis*

Background

NYDG opened in 1995 on Fifth Avenue, New York City, New York. The Company has built a strong reputation in the city due to its long successful history. The Company is led by dermatologist and internal medicine specialist Dr. Colbert along with his team of 29 employees.

The Company is entirely owned by Dr. David A. Colbert. He is the Founder and Head Physician of New York Dermatology Group and NYDG Integral Health & Wellness. He is board-certified by the American Academy of Dermatology and board-eligible in Internal Medicine. He is a member of the American Academy of Dermatology, the American College of Dermatological Surgeons and the American College of Physicians and Surgeons. He had studied medicine at La Faculté Libré de Medecine in France, receiving his degree from New York Medical College and completing his residency at Columbia-Presbyterian Hospital.

Dr. Colbert's regular clientele includes notable actors, architects, designers, dancers, journalists, writers and models among other highly visible personalities and producers of cultural currency. Dr. Colbert possesses an additional degree in Internal Medicine and Fellowship in Acne and Wound Healing from Boston University.

Services offered by Dr. Colbert are related to:

- Medical dermatology
- Cosmetic dermatology
- Aesthetics
- Integral health

Medical Dermatology

The Company provides treatment for skin concerns such as skin disorders like acne, rashes, moles, melasma; skin cancer related solutions like mohs surgery and skin cancer screening; and aesthetic concerns like wrinkles, loose skin and warts.

Cosmetic dermatology

The Company aims to provide prevention, rejuvenation, and maintenance solutions and effective treatments related to face and body. The treatments include injectables such as botox, dermal fillers, kybella, PRP; laser resurfacing that includes fraxel, endymed, co2RE; laser treatments like laser removal, PicoSure laser tattoo removal, vascular lasers; and skin tightening solutions including but not limited to microneedling, ultherapy, softwave, and laser genesis.

Aesthetics

The Company provides customized facials and body sculpting treatments for face and body that include medical facials and body contouring (SculpSure, CoolSculpting, EMSculpt Body Contouring).

Integral health

The Company provides primary care & wellness solutions. It includes Cryotherapy, IV Therapy, Phototherapy, and Primary Care + Preventative Medicine.

Financial Statement Analysis

NYDG's historical financial statements for the fiscal years ended December 31, 2022 through 2024 are presented in Exhibit B.1 and B.2. Unless otherwise noted, references made to a year reflect the fiscal year ending in that year (e.g., 2024 refers to the fiscal year ended December 31, 2024).

Balance Sheet Analysis

NYDG is a capital-intensive company with low current liquidity and significant financial leverage. During the historical period, total assets decreased by 7.2% from \$3.0 million to \$2.8 million.

Current assets, which only consisted of cash equaled \$97,000 at the close of 2024 and typically equal between 0.5% and 4.2% of total assets.

NYDG's fixed assets include the medical equipment; furniture and fixtures; leasehold improvements; and computers and office equipment. Gross fixed assets increased from \$6.6 to \$8.9 million during the historical period. In contrast, net fixed assets declined from \$2.2 million to \$2.1 million, as depreciation outpaced capital expenditures during the period.

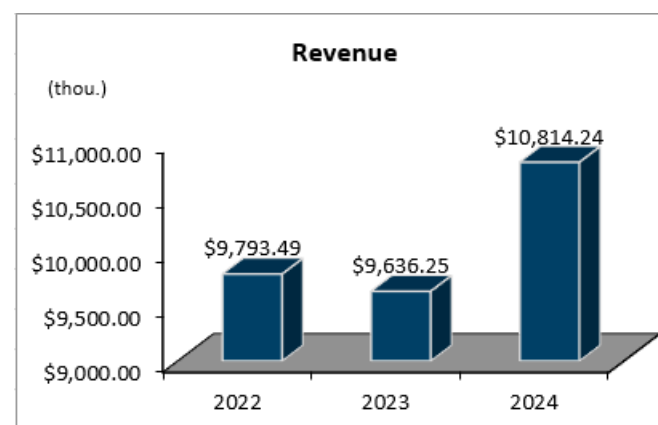
NYDG's current liabilities equaled \$2.5 million at the close of 2024 and primarily consists of current portion of term loan and credit cards payable. NYDG's percentage of net working capital to sales ranged from -1.7% to -0.9% during the historical period. This suggests the Company is able to limit its investment in working capital (but may also carry some liquidity risk).

NYDG's long term liabilities equaled \$167,000 at the close of 2024 and primarily consists of commercial rent tax payable.

Stockholders' equity increased from \$(1.0) million to \$159,000 during the historical period due primarily to retention of earnings.

Income Statement Analysis

During the historical period, NYDG's revenue increased from \$9.8 million in fiscal 2022 to \$10.8 million in fiscal 2024.



NYDG's operating expenses include salaries and wages, employee benefits, repairs and maintenance, rent, depreciation, utilities, packaging supplies, and advertising and promotions. Total SG&A expenses increased at a compounded annual rate of 13.5%. NYDG's operating margin increased to 3.2% in 2023 versus 2.0% in 2022, but then dropped down to 3.0% in 2024. The operating income in 2024 was 325,000.

Reported income ranged from a low of \$(7,000) to a high of \$151,000 during the historical period.

Adjustments to Historical Income Statements

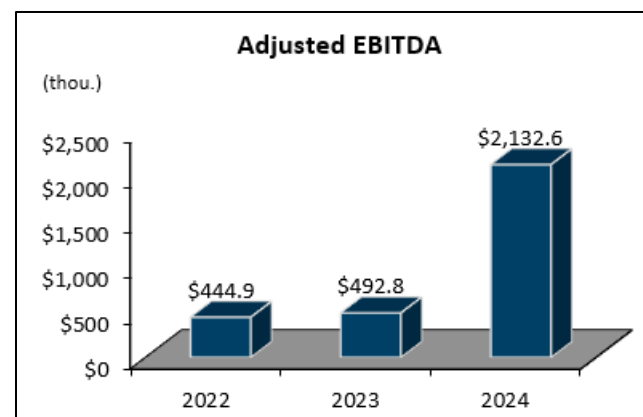
Due to several unusual or nonrecurring expense items, reported earnings do not necessarily reflect NYDG's normalized earnings available to shareholders. Rather, reported earnings often include nonrecurring, non-cash, and other unusual or discretionary transactions that distort the cash flows that would otherwise be available to the Company and its shareholders. As such, we made various adjustments to the Company's reported financial results to reflect NYDG's normalized ongoing operating performance and incorporated our adjustments into NYDG's reported results to yield adjusted historical income statements (see Schedule B.3). These adjustments are as follows:

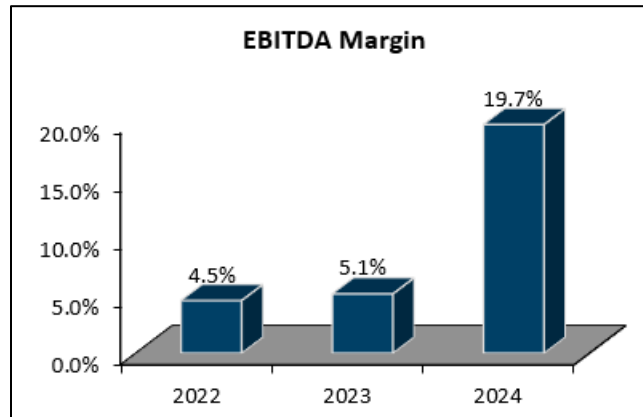
- **Other Income.** Other income was eliminated due to its one-time, nonrecurring nature.
- **Travel, Meals, and Entertainment.** Any expenses related to travel and entertainment were added back.
- **Excess Officer Salaries.** To estimate the cash flow that a controlling owner of a business can generate, it is appropriate to make a distinction between the amount paid to the officer/owner for services performed as an employee versus the amount paid to the officer/owner because he or she is a shareholder. Only the market amount that would be paid to a

third party to perform the duties of the officer should be considered as officers' salary. Based on industry data sourced from the Risk Management Association, we normalized officer compensation to 6.0% of revenue in 2024.

- **Car Insurance.** Car insurance expenses paid through the Company were eliminated.
- **Income Taxes.** On December 22, 2017, the Tax Cuts and Jobs Act was signed into law lowering the federal corporate income tax rate to 21%. An appropriate income tax rate of 27% is estimated based on the federal, state, and local corporate tax rates in effect as of the Valuation Date.

As adjusted, NYDG's earnings before interest, taxes, depreciation, and amortization ("EBITDA") ranged from a low of \$445,000, or 4.5% of sales, in fiscal 2022 to a high of \$2.13 million, or 19.7% of sales, in fiscal 2024.





Section III

Economic & Industry Outlook

This valuation is prepared as of April 30, 2025, during a period of solidly paced economic expansion in the U.S. In his semiannual report to the U.S. Congress on February 11, 2025, Federal Reserve Chairman Jerome Powell updated the nation on the state of the economy. In his statement¹, Powell noted recent indicators suggest that gross domestic product (the output of goods produced in the United States, “GDP”) has rose 2.5% in 2024, bolstered by strong consumer spending. The U.S. Economy’s strong performance over the course of the past year has been supported by solid investment in equipment and intangibles overall, despite a decline in the fourth quarter, and stabilized activity in the housing sector following weakness in the middle of last year. Labor market conditions have remained solid and appear stabilized. The unemployment rate has been steady since the middle of last year and remains low at a rate of only 4% in January, with payroll job gains of an average of 189,000 a month over the past four months. Nominal wage growth has eased over the past year, while the jobs-to-workers gap has narrowed. The consistently strong labor market has narrowed historical disparities in employment and earnings across demographic groups. Despite significant easing over the past two years, inflation remains elevated slightly above the long run goal of 2.0%. Over the past 12 months ending in December, total personal consumption expenditures (“PCE”) prices rose 2.6%; excluding the volatile food and energy categories, core PCE prices rose 2.8%. Inflation expectations remain well anchored in the longer-term. The recalibration of recent monetary policy stance was appropriate in light of the progress on inflation and a colling labor market. With a significantly less restrictive policy stance and a strong economy, there is no hurry to adjust policy

stance. As the economy evolves, monetary policy will adjust to promote maximum employment and price stability goals. If the economy remains strong and inflation does not move sustainably toward 2.0%, policy restraint can be maintained, while if the labor market weakens or inflation falls more quickly than expected, policy can be eased accordingly.

According to recent reports from the Bureau of Economic Analysis² (the “BEA”), real GDP decreased at an annual rate of 0.3% in the first quarter of 2025, after an increase of 2.4% in the fourth quarter. The decrease in real GDP in the first quarter, reflected a decrease in government spending that were partially offset by an increase in investment, consumer spending, and exports. Imports, which are a subtraction in the calculation of GDP, increased.

The most recent biannual economic report³ prepared by the Congressional Budget Office (“CBO”) echoes many of the sentiments of the Federal Reserve and BEA. The CBO projects real growth of the economy to moderate from 2.3% in 2024 to 1.9% 2025, and to 1.8% in 2026. The CBO predicts the unemployment rate will grow gradually to 4.3% in 2025 and 4.4% by the end of 2026. The overall growth of prices is expected to slow slightly in 2024. In CBO’s projections, inflation as measured by the price index for PCE falls from 2.5% in 2024 to a rate roughly in line with the Federal Reserve’s long-run goal of 2% by 2027 and stabilizes thereafter. During 2024, the Federal Reserve judged that inflation is on a sustainable path back to its long run goal, and has begun lowing the federal funds rate (the rate that financial institutions

¹ Jerome Powell, *Semiannual Monetary Policy Report to the Congress*, February 11, 2025.

² Bureau of Economic Analysis, *News Release: Gross Domestic Product: First Quarter 2025 (Advanced Estimate)*, April 2025.

³ Congressional Budget Office, *The Budget and Economic Outlook: Fiscal Years 2025 to 2035*, January 17, 2025.

charge each other for overnight loans of their monetary reserves); in September 2024.

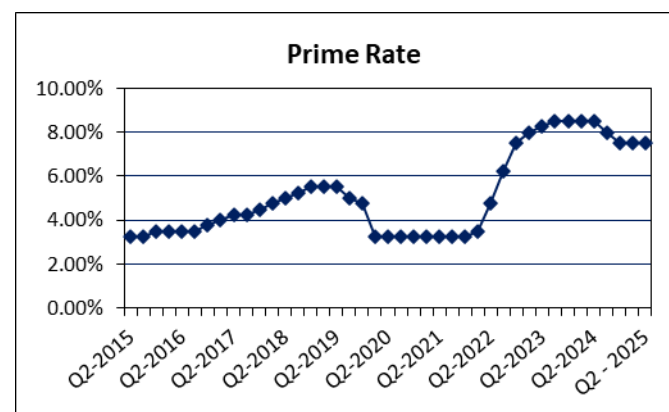
CBO Economic Projections						
Economic Indicator	Actual	Forecast			Projected Annual Average	
	2024	2025	2026	2027	2028-2029	2030-2035
Real GDP (% change)	2.3%	1.9%	1.8%	1.8%	1.8%	1.8%
Inflation (% change)	2.5%	2.2%	2.1%	2.0%	2.0%	1.9%
Unemployment Rate (%)	4.1%	4.3%	4.4%	4.4%	4.4%	4.3%

Overall, recent improved performance in the U.S. economy is expected to stabilize at long-term sustainable output towards the end of the projection period. Rates of real GDP growth, inflation growth, and unemployment are projected at 1.9%, 1.9%, and 4.3% over the long term. Moderate growth, temperate inflation, and manageable unemployment rates would lead to an advantageous operating environment for NYDG.

Interest Rates

Interest rates are important to NYDG because prevailing interest rates could affect future capital structure decisions. In its most recent meeting on March 19, 2025, the Federal Open Market Committee ("FOMC") decided to maintain the target range for the federal funds rate to 4.25% to 4.50%. Labor Market conditions remain solid, and the unemployment rate has stabilized at low levels. The FOMC seeks to achieve a maximum employment and inflation at the rate of 2.0% over the longer run. The FOMC will assess incoming data, evolving outlook, and the balance of risks in considering additional adjustments to the target rate; and will continue reducing its holdings of Treasury securities and agency debt and agency mortgage-backed securities. Beginning in April, the Committee will reduce its holdings of securities

at a slower rate by reducing the monthly redemption cap on treasury securities. In determining the extent of additional policy easing or tightening that may be appropriate, the FOMC will continue to monitor implications for the economic outlook. The FOMC is prepared to adjust the stance of monetary policy to attain their dual goals of 2.00% inflation and maximum employment and will take into account a wide range of information, including readings on labor market conditions, inflation pressures and inflation expectations, and financial and international developments.



The federal funds rate normally has a direct impact on the prime rate and LIBOR, which are the borrowing rates for most stable, low-risk companies. The prime rate fell steadily to the historically low level of 3.25% in the fourth quarter of 2008, where it remained for several years. In December of 2015, the prime rate was steadily raised for the first time ultimately to 5.50% by the end of 2018. The rate decreased 75 basis points to 4.75% during 2019 before a dramatic decrease to 3.25% in March 2020 due to COVID-19. It remained for two years until

it increased 500 basis points in 2022 and the first 3 quarters of 2023 to 8.50%, where it remained through the second quarter of 2024. By the first quarter of 2025 the prime rate decreased to 7.50%. NYDG would prefer a low prime rate because of its effect on potential interest payments in the future.

Equity Markets

The stock market has been extremely volatile the past several years. In early 2020, pockets of significant volatility appeared as a result of the COVID-19 outbreak. The stock market rallied and hit all time-highs several times during 2021 due to a mixture of liquidity, low levels of yield from alternative investments, government stimulus, and upward pressure from the large-cap tech sector. However, all major indices experienced a pull-back during 2022 due to inflation risks and fears of an upcoming recession. As a relatively small company, NYDG's valuation may be more closely related to the companies in the Russell 2000 than other market indices. The NASDAQ Composite index outperformed during the past two years compared to the Russell 2000 and S&P 500 indices, as shown on the table that follows.

Equity Market Performance					
Market Index	Index Value as of...			% Change '23 - '25	% Change '24 - '25
	4/30/2023	4/30/2024	4/30/2025		
S&P 500	4,169.48	5,035.69	5,569.06	33.6%	10.6%
NASDAQ Composite	12,226.58	15,657.82	17,446.34	42.7%	11.4%
Russell 2000	1,768.99	1,973.91	1,964.12	11.0%	-0.5%

Industry

NYDG operates as a medical and aesthetic dermatology center in the United States.

This industry includes health practitioners who specialize in diagnosing and treating diseases of the skin, scalp, hair and nails. Dermatologists may also offer cosmetic services such as Botox.

In recent years, the dermatology sector in the U.S. has experienced significant growth and change. Dermatologists have broadened their scope beyond conventional skin care by incorporating advanced cosmetic procedures and telehealth services. This diversification has improved patient access and significantly boosted revenue. For example, the increasing demand for minimally invasive cosmetic treatments like Botox and fillers has driven the industry's economic success. Moreover, the move towards personalized medicine, with treatments tailored to individual patient needs, has further reinforced dermatology's importance within the larger healthcare landscape. Revenue has been expanding at a CAGR of 1.9% to an expected \$9.0 billion over the past five years. A slowdown in total healthcare spending and steadying patient volumes will slow growth to an expected 2.4% in 2024.

Over the past five years, various trends have emerged within the dermatology field. The swift adoption of teledermatology, especially during the COVID-19 pandemic, enabled dermatologists to deliver care remotely, significantly enhancing access for patients in rural or underserved areas. Also, growing public awareness of skin health and the risks of skin cancer has led to more frequent screenings and early detection initiatives. Innovations in diagnostic and treatment

technologies, such as biologics for chronic skin conditions and advanced laser therapies, have also been pivotal. These advancements have improved patient outcomes and increased demand for dermatological services nationwide.

The dermatology industry is expected to continue its growth and evolution over the next five years. The ongoing integration of advanced technologies, including AI-enhanced diagnostic tools and telehealth solutions, will likely improve dermatological care's efficiency and precision. Demand for cosmetic dermatology will also grow, driven by social media influences and a growing focus on aesthetic enhancements. Also, consolidation in the industry, with larger healthcare entities acquiring smaller practices, will likely streamline operations and expand service offerings. As dermatologists continue to innovate and respond to changing patient needs, the industry is poised to maintain its vital role within the US healthcare system. In all, revenue will expand at a CAGR of 3.6% to an estimated \$10.8 billion over the next five years.

Key Trends

- Demographic trends and rising incomes bring more patients into dermatologists' offices. An aging population's expanding medical needs and the growing popularity of cosmetic procedures have introduced new ways for dermatology providers to expand.
- Consolidation activity is reshaping the dermatology landscape. Financial pressures and regulatory burdens support shifting from private practice to group and multispecialty providers.

- Private insurers are the largest payers of dermatology treatments. Reimbursements from commercial insurers account for nearly half of all payments to providers.
- A growing uptake of cosmetic procedures strengthens out of pocket payments. Consumers' embrace of recurring cosmetic treatments brings in more self-pay patients to providers.
- Metropolitan areas have higher concentrations of dermatology practices. Large cities have a higher patient demand for dermatology treatments while providing access to bigger employee pools.
- Population hubs support dermatologists. Large populations in the Southeast and West warrant a greater need for dermatology treatments.
- Tech advances drive competition between practices. Practices that integrate innovative devices into treatment are more competitive.
- Cost is a key consideration for patients. Practices that negotiate the highest reimbursements can offer patients lower out-of-pocket expenses.

Summary

Current economic conditions, including modest GDP growth, growing demand for cosmetic dermatology, and technological integration is generally favorable for Dermatologist practices. Additionally, NYDG is relatively well-diversified in terms of lines of service, which can be valuable in poor economic environments.

Section IV

Valuation Methodology

The value of a security is determined by both *internal* factors, which are subject to the control of management, and *external* factors, which are entirely out of the control of a company. The value to a company of its various assets is not synonymous with the value of its stock. The value of stock is heavily influenced by factors entirely unrelated to the entity, particularly by the return available from alternative investments such as securities of comparable character and quality. Factors to be considered in our valuation report include the following:

External Factors:

- General economic conditions;
- Industry conditions, including risk factors and growth rates;
- Investor attitudes towards securities of companies that are comparable to the Company.

Internal (Company) Factors:

- Operating history;
- Financial performance, including earning power, use of leverage, dividend-paying capacity, etc.;
- Characteristics of the Subject Interest, including rights, privileges, conditions, control of operations, and restrictions on sale or transfer.

Valuation Approaches

Current valuation theory includes consideration of three commonly accepted approaches to value: a market approach, an income approach, and an asset approach. Each approach contains various valuation methodologies. The choice of which approaches and methodologies to utilize depends on the specific facts and

circumstances of the valuation. Our analysis and selection of the appropriate valuation approaches and methodologies to utilize in this valuation are described below.

In developing a business or intangible asset appraisal of an equity interest possessing the ability to effect liquidation, the Uniform Standards of Professional Appraisal Practice (“USPAP”) issued by The Appraisal Foundation requires an investigation into the possibility that the business enterprise may have a higher value through liquidation of all or part of the enterprise rather than through continuing operations. The Subject Interest represents a controlling interest with the ability to effect liquidation, thus consideration of liquidation value is applicable. However, the values indicated by the valuation methodologies employed exceed the Company’s liquidation value, thus suggesting that the appropriate basis for valuation is to view the Company as a going concern. As such, consideration of a liquidation value is not appropriate.

Market Approach

The ideal methodology to value an asset is to observe the prices paid for that asset in the open market. However, when valuing shares of a privately held company, no such marketplace exists. The market approach is a valuation technique whereby the value of a company is estimated based on pricing relationships associated with market transactions involving similar companies. These observations make it possible to estimate the value of shares that have no active market.

The market approach includes two primary methods: the Guideline Public Company Method and the Guideline Transaction Method. Both methods require the availability of data from companies that are reasonably comparable to the company being valued. The criteria for

comparability in the selection of publicly traded guideline companies or guideline transactions include business and operational characteristics, growth patterns, relative size, earnings trends, markets served, and risk characteristics.

We searched several sources in an effort to find public companies that are relatively similar to NYDG. Based on this search, we conclude that there are insufficient public companies that are comparable to the Company. As such, **we did not employ the Guideline Public Company Method** in our valuation of NYDG. Furthermore, based on discussions with management and our industry research and as discussed in the *Company History and Background* section of this report, the Company's industry is highly fragmented and is dominated by smaller privately held companies.

However, based on our research of various transaction databases, we found several transactions involving companies that are relatively similar to NYDG. As such, **we employed the Guideline Transaction Method** in our valuation of the Company (see section V).

Another form of the market approach includes analyzing past transactions in the Subject Company's stock. There have been no arm's-length transactions involving NYDG's stock in the last several years. Accordingly, although we considered this form of the market approach, we did not apply it in our estimation of value.

Income Approach

The income approach is a valuation technique in which the value of a company is estimated based on the earning capacity of that company. The income approach consists of two basic income-driven methods to

derive an estimate of Fair Market Value: single period capitalization and multiple period discounting. Single period capitalization is most appropriate when a company's current level of operations is believed to be representative of future operations, and the company is expected to grow at a relatively stable and modest rate. Otherwise, multiple period discounting is more appropriate because it allows for changes to a business' growth rates and profit margins.

NYDG has demonstrated modest and stable growth in recent years. In addition, management anticipates varying rates of growth in the next few years. The expectation for varying rates of growth suggests that a multiple-period discounting model is appropriate. As such, **we employed the Discounted Cash Flow Method** in our valuation of the Company (see section VI).

Asset Approach

Under the Net Asset Value Method, a form of the asset approach, all of the business' assets (both tangible and intangible) and liabilities (both reported and off-balance sheet) are identified and restated to Fair Market Value either collectively or discretely. The asset approach is typically used in the valuation of holding companies and in the valuation of asset-intensive operating companies with modest profitability, and it is often an inappropriate approach to employ when valuing profitable operating companies. Additionally, the asset approach can be performed on either a going concern or a liquidation basis. If there are potential buyers of a mass assemblage of the Company's assets that would likely continue to operate those assets as part of a going concern, then a going concern basis is most appropriate. If there are no such potential buyers, then a liquidation approach may be more appropriate.

NYDG is an operating entity with an established history of profitable operations. The Company is producing a return on its assets that would indicate value exists over-and-above the value of the tangible underlying assets (i.e., it has an element of intangible asset value). As such, although it was considered, **we did not employ the Net Asset Value Method** in our valuation of the Company.

Valuation Methodology	
Methods Applied	Methods Considered/Not Applied
Guideline Transaction Method (Market)	Guideline Public Company Method (Market)
Discounted Cash Flow Method (Income)	Net Asset Value Method – Going Concern (Asset)
	Net Asset Value Method – Liquidation (Asset)
	Capitalized Cash Flow Method (Income)

Enterprise Value versus Equity Value

Our application of the valuation methods above leads to the Company's enterprise value, defined as the value of the Company's equity (common and preferred stock) and interest-bearing debt, but excluding non-operating assets such as distributable cash. The relationship between enterprise value and equity value is as follows:

$$\text{Enterprise Value} = \text{Common Stock} + \text{Preferred Stock} + \text{Interest-Bearing Debt} - \text{Non-Operating Assets}$$

Since our engagement calls for the valuation of the Company's common stock (i.e., equity), we convert our enterprise value to equity value in the *Reconciliation of Valuation Methods* section of this report.

Applicable Discounts / Premiums

The application of most valuation methods indicate the value of equity assuming it is fully marketable (i.e., like a publicly-traded stock) and assuming the owner of the Subject Interest can exercise full control over operations. Therefore, the most common discounts applied in valuations are for lack of control and lack of marketability, when either or both of these conditions are not met. Since we are valuing controlling equity interests in NYDG, we do not apply either a discount for lack of control or a discount for lack of marketability.

Section V

Guideline Transaction Method

The first step in employing the Guideline Transaction Method is to seek and identify potential guideline transactions. Ideal guideline transactions would involve companies that compete in the same industry as the company being valued; however, exact comparability is not required under this method of valuation. If there are insufficient transactions involving companies in the same or similar line of business that have securities traded on public markets, it may be necessary to consider transactions involving companies with an underlying similarity of relevant investment characteristics, such as markets, products, growth, cyclical variability, risks, or other pertinent factors.

The basic criteria we utilized in selecting a guideline transaction include (1) there must be sufficient publicly available data relating to the transaction to provide evidence of value, and (2) the transaction must involve a company in the same or similar line of business as NYDG. Since the transactions researched generally involve smaller privately held companies, there is often relatively little public information related to these companies or the transactions. Nevertheless, we were able to find 16 transactions that have taken place from 2016 through 2024, involving companies within, or related to, the medical clinic industry (i.e. SIC #8011). The sources of information used in our transaction analysis were *Pratt Stats* and *Capital IQ*. A summary of the transactions is presented in Schedule C.2.

The guideline transactions are not necessarily selected for direct comparability to NYDG. Rather, they are chosen as a guideline group that shares similar characteristics and reflects conditions and financial performance of medical clinics. Specifically, they demonstrate industry cycles, provide representative quantitative indicators, and reflect recent transaction pricing in the industry. Thus, the comparative analysis to NYDG is based on the performance and characteristics of

the sample as a whole rather than on any individual transaction selected.

To assess the market value of NYDG, we relied on multiples based on the acquired companies' enterprise value, annual revenue, and EBITDA. A company's enterprise value incorporates the value of all operating assets (except cash), including working capital, fixed assets, and intangible assets. Further, outside investors often utilize revenue and EBITDA multiples because a privately held company's revenue and EBITDA often provide a more stable and reliable measure of performance than its earnings, which may be impacted by tax planning, the motivations of owners, capital structure, and the quality of existing management.

In applying revenue and EBITDA multiples, we utilized the following procedures: (a) assess representative or sustainable levels of revenue and EBITDA for NYDG; (b) assess appropriate multiples based on the risk and return characteristics of the Company vis-à-vis the acquired companies in the guideline transactions; and (c) apply the selected multiples to develop an indication of value.

Sustainable Levels of Revenue and EBITDA

NYDG's revenue has been fairly consistent during the historical period, ranging from \$9.6 million in 2023 to \$10.8 million in fiscal 2024. Management anticipates a continuation of its historical performance in the future (i.e., steady growth on a long-term basis). As such, we select \$10.8 million, equal to Last Fiscal Year ("LFY") performance and \$12.1 million, equal to Next Fiscal Year ("NFY") performance, as reasonable estimates of NYDG's current sustainable revenue level.

Further, NYDG's Adjusted EBITDA has shown considerable growth during the historical period, ranging from \$445,000 in 2022 to \$2.1 million in fiscal 2024. Management anticipates a continuation of its historical performance in the future (i.e., steady growth on a long-term basis). As such, we select \$2.1 million, equal to LFY performance and \$2.2 million, equal to NFY performance of EBITDA, as reasonable estimates of NYDG's current sustainable EBITDA level.

Selection of Multiples

To determine appropriate multiples to apply to NYDG, we considered (a) any discernible trends in the acquisition multiples of the guideline transactions, and (b) the Company's risk and return characteristics relative to the companies involved in the guideline transactions, as follows:

- ***Range of Multiples.*** The sales multiples of the guideline transactions ranged from 0.05x to 1.84x with a median of 0.73x and an average of 0.85x. The EBITDA multiples of the guideline transactions ranged from 2.82x to 18.73x with a median of 5.92x. The EBITDA multiples demonstrated a quartile-to-quartile range of 4.25x to 9.46x.
- ***Size.*** The companies involved in the guideline transactions are similar in size to NYDG, with annual sales ranging from \$1.7 to \$106.1 million and a median sales level of \$5.7 million. The companies with sales in excess of \$5.7 million demonstrated a median sales and EBITDA multiples of 0.9x and 5.92x. NYDG's annual sales are between the median and upper quartile.

- ***Profitability.*** The companies involved in the guideline transactions generally have lower margins than NYDG, with a median EBITDA margin of 9.8% compared to NYDG's LFY adjusted margin of 19.7%. NYDG's superior margins may be justification for a higher sales and EBITDA multiples.

Based on a comparison of NYDG to the guideline transactions as it relates to NYDG's higher profitability and size, we select acquisition price to sales multiples of 1.10x for LFY and 1.00x for NFY metric of revenue. A price to EBITDA multiple of 6.50x for LFY and 6.00x for NFY metric of EBITDA was considered appropriate. Multiples at this level are between the median and upper quartile of all revenue and EBITDA multiples observed.

Applying the selected revenue multiples to NYDG's sustainable performance resulted in a range of enterprise values of \$11.89 million to \$12.13 million, while applying the selected EBITDA multiples to NYDG's sustainable performance resulted in a range of enterprise values of \$13.66 million to \$14.35 million. After adjusting for excess/(deficit) net working capital of \$(40,000) the Company's enterprise value is determined to be \$12.97 million.

Section VI

Discounted Cash Flow Method

The Discounted Cash Flow Method is a valuation technique in which the value of a company is estimated based on the present value of its future economic benefits. The level of benefit we chose to utilize is distributable cash flow, which is the amount that could be paid to owners of a business without impairing its operations. Distributable cash flow is a preferred measure of a company's earning and dividend-paying capacity because it represents the earnings available for distribution to investors after considering the reinvestment required for a company's future growth.

To perform a discounted cash flow analysis, the distributable cash flow that a business can generate is projected into the future and then discounted to the present using an appropriate rate of return commensurate with the risk of realizing the projected cash flows. The projected future cash flows are comprised of two components:

- **Discrete Projection Period Cash Flows.** The distributable cash flows in the discrete projection period are calculated by estimating each year's revenue, expenses, and other items such as capital expenditures and additional working capital requirements. The discrete projection period should extend for a sufficient number of years until reaching a point when future cash flows are expected to stabilize and grow at a relatively constant growth rate. Each year's cash flow is then discounted to the valuation date at the required rate of return.
- **Residual Cash Flow.** The residual cash flow value represents the present value of all cash flows beyond the discrete projection period. The value of the residual cash flow is typically derived using a single-period capitalization model (e.g., the Gordon Growth Model, or "GGM"). Because the residual cash flow value

represents a value as of the end of the discrete projection period, it is appropriate to discount the residual cash flow value to the present using the required rate of return.

Since our valuation of NYDG is on a non-controlling-interest basis, we project the cash flows that would be available to a non-controlling-interest shareholder. Further, we performed our discounted cash flow analysis on a "debt-free" basis. This methodology entails estimating cash flows available to satisfy the return requirements of both debt and equity investors. Consistent with a debt-free methodology, we (a) remove interest expense, additions and reductions in debt balances, and interest or investment income associated with non-operating assets items from NYDG's projected cash flows; (b) utilize a weighted average cost of capital ("WACC") to discount future cash flows to reflect the return requirements of both debt and equity investors; and (c) sum the present values of the cash flows from the discrete projection period and the residual period adjusted for bonus depreciation, residual tax depreciation and excess/deficit net working capital to derive the Company's enterprise value (equity plus debt minus cash and equivalents).

Discrete Projection Period Cash Flows

Based on an analysis of the strength of the overall economy, NYDG's industry, NYDG's historical financial data, Company budgets, and discussions with management, assumptions were made concerning the future operations of the Company. These assumptions, which are described on the following pages and presented in Schedule D.1, are the basis for our projected cash flows.

NYDG has enjoyed sustainable sales growth in the past few years. Based on discussions with management and seven-year financial forecast, our projections generally reflect a slowing down of sales growth, controlled growth in operating expenses, and limited new capital investment. The highlights of these projections, which are presented in Exhibit D.1, are as follows:

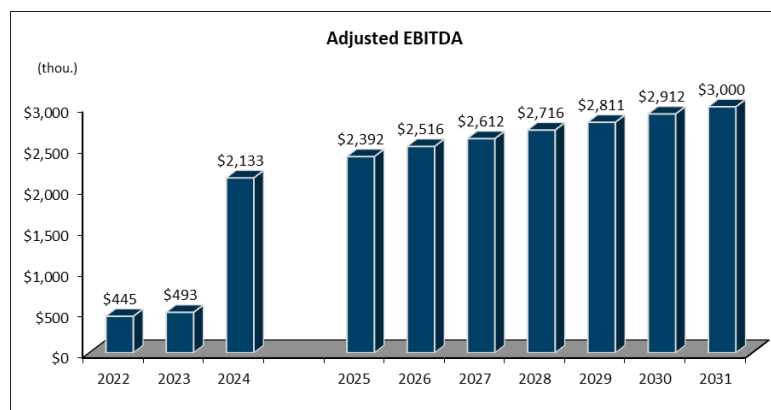
- **Sales.** Sales are projected to grow 12.2% to \$12.1 million in 2025 as the Company hired a new doctor at the beginning of the year who is expected to bring in ~\$80,000 in income a month. Thereafter sales are projected to grow at a 3.6% compound annual growth rate (“CAGR”) to \$13.81 million by 2031. Sales growth reflects market demand forecast for dermatology industry sourced from IBISWorld.
- **EBITDA Margins.** EBITDA margins are projected to be 19.7% of revenue (equal to adjusted LFY levels) in 2025. In 2025 EBITDA margins are expected to increase to 20.0% as the recent hire of new doctors leads to some operational leverage. Thereafter, EBITDA margins are projected to equal 20% as earnings are expected to increase generally in line with revenues.
- **Interest Expense.** Consistent with our “debt-free” analysis, interest expense is not projected (as discussed above).
- **Income Taxes.** On December 22, 2017, the Tax Cuts and Jobs Act was signed into law lowering the federal corporate income tax rate to 21%. Income taxes are estimated based on the federal, state, and local corporate tax rates in effect as of the Valuation Date, and are estimated to be 27% throughout the projection period.
- **Capital Expenditures and Depreciation.** Annual capital expenditures are projected to average 2.0% of revenues during the projection period, and projected depreciation is based on historical and projected capital expenditure levels.
- **Working Capital.** The Company’s required level of working capital⁴ is projected to equal -1.0% of sales throughout the projection period, consistent with NYDG’s level of working capital in recent years.

Discrete Projection Period Cash Flows - Conclusion

Overall, NYDG’s distributable cash flow during the projection period is forecasted to range from \$1.04 million in 2025 (partial period) to \$1.98 million in 2031, while its EBITDA is projected to range from \$1.61 million in 2025 (partial period) to \$3.00 million in 2031.

⁴ For purposes of this discounted cash flow analysis, we define working capital to be current assets minus current liabilities, excluding (a) non-operating assets and cash (our analysis assumes that these assets are available for distribution to the Company’s shareholders immediately and would therefore not be a component of

NYDG’s ongoing working capital requirements); and (b) the current portion of interest-bearing debt (consistent with our application of a debt-free valuation model).



Residual Cash Flow

As mentioned above, we utilize a single-period capitalization model (i.e., the GGM) to convert the distributable cash flow in the residual period to the value of all future cash flows beyond the discrete projection period. Three variables are required to use the GGM: residual period cash flow, capitalization rate, and long-term growth rate. We calculate the Company's residual period cash flow and determine its long-term growth rate below. The capitalization rate will be determined later in this section.

- **Cash Flow Normalizations.** In the GGM, the residual period refers to next year's cash flow (in this case, the year following the last year of the projection period). As such, to normalize cash flow for the residual period, we: (a) increase revenue from the last year of the projection period by the long-term growth rate (see below); (b) hold operating margins flat; and (c) normalize cash flow adjustments. In the residual period, capital expenditures are projected to slightly exceed depreciation expense to reflect the modest growth of capital

into perpetuity. Further, we project a normalized outflow of cash for working capital based on the growth of revenue in the residual period.

- **Long-Term Growth Rate.** In a perpetual single period capitalization model, an estimated growth rate should reflect the anticipated long-term growth rates of the industry and the economy. Because the capitalization process is infinite, estimating a long-term growth rate in excess of these levels may be inappropriate because it assumes that the Company will perpetually gain market share. In light of these factors, we estimate only inflationary, economic, and industry growth on a long-term basis. Based thereon, we estimate NYDG's long-term growth rate to be 3.0%.

Residual Cash Flow - Conclusion

Based on our projected long-term growth rate and normalization adjustments, we project the Company's residual cash flow to be \$2.03 million (see Schedule D.1). This cash flow will be capitalized at a rate based on our long-term growth rate and our concluded required rate of return, which will be discussed in the next section.

Required Rate of Return

Consistent with our application of a "debt-free" discounted cash flow analysis, it is appropriate to estimate a rate of return that satisfies the return requirements of both debt and equity investors (i.e., the WACC). The steps involved in deriving an appropriate WACC include estimating (1) the required return on equity; (2) the required return on debt; and (3) an appropriate capital structure. Each of these steps is discussed below and presented in Exhibit D.2.

Required Return on Equity

To estimate the required return on equity, we considered the Capital Asset Pricing Model (“CAPM”) and then adjusted the suggested rate of return for the specific characteristics of an investment in the equity of NYDG. The components of the CAPM, along with our assumptions for each of these components, are as follows:

- **Risk-Free Rate.** A security is risk free if it provides an investor with a guaranteed rate of return. In the United States, Treasury securities are viewed by investors as having no default risk. Therefore, the yield on a 20-year Treasury bond, as reported by the Federal Reserve Bank is used to estimate the risk-free rate of return. The yield on this security as of the Valuation Date was 4.68%.
- **Equity Risk Premium.** Investors in common stocks require a premium over the return on Treasury securities to compensate for the additional risk associated with equity securities. The equity risk premium is defined as the extra return (over the yield on Treasury securities) that investors expect to receive from investing in a diversified portfolio of common stocks. Since a forward-looking equity risk premium cannot be observed or known with certainty, we estimate a forward-looking equity risk premium based on (a) a study of historical risk premia published in Kroll Inc.’s 2025 Valuation Handbook (“Kroll”) and (b) various professional literature and studies attempting to quantify an appropriate estimate of the forward-looking equity risk

premium. The data compiled by Kroll suggests that the long-term historical equity risk premium (i.e., from 1926 to 2024), which represents the total return of stocks in the S&P 500 Index compared to the returns on Treasury bonds, was 7.31%. An article by Roger G. Ibbotson and Peng Chen⁵ utilizes several forecasting models and concludes that the sustainable, long-term forward-looking equity risk premium is approximately 1.25% lower than the premium suggested by historical returns. Several other studies support these findings regarding an equity risk premium below historical returns. Based thereon, we utilize 6.00% as a reasonable estimate of the sustainable, long-term forward-looking equity risk premium.

- **Beta.** Beta is a measure of systematic risk. Specifically, it measures the relationship between changes in the rates of return for an individual stock to changes in rates of return of a fully diversified stock portfolio. Practical application of the CAPM to a privately held business requires the identification of publicly traded companies with similar risk since a freely traded price is necessary to calculate beta. For the reasons discussed in the *Valuation Methodology* section of this report, we were unable to employ the Guideline Public Company Method. As such, we utilize a beta of 1.0 (equal to the overall beta of the market) and adjust for perceived risks of NYDG’s industry in the Specific Company Risk Premium, discussed below.

⁵ Ibbotson, Roger G., and Peng Chen, “Long-Run Stock Returns: Participating in the Real Economy.” *Financial Analysts Journal* (January/February 2003): p. 88-98.

- **Small Stock Risk Premium.** Investments in small companies are riskier than investments in large companies, everything else held constant. We incorporate a small stock risk premium of 7.64% based on historical premiums compiled by Kroll. This premium is based on the historical returns (in excess of the return on the S&P 500 Index) of the smallest five percent of stocks on the NYSE, AMEX, and NASDAQ exchanges (i.e., stocks of companies with equity capitalizations between \$1.6 million and \$97.4 million).
- **Specific Company Risk Premium.** An investment in NYDG may warrant an additional risk premium that takes into account risk factors specific to the subject company (i.e., unsystematic risk factors) not captured in the equity risk premium or the small stock risk premium. Sources of additional risk for NYDG are primarily related to perceived uncertainties related to the operating forecast. Additionally, NYDG's equity market capitalization is lower than the 10B decile level cited above, suggesting that additional size-related risk in excess of the small stock risk premium may be present. Based on these factors, it is our judgment that additional unsystematic risk premium of 200 basis points is appropriate.

Applying our assumptions for each of the individual components to the CAPM formula suggests a required return on equity of 20.3% (see Schedule D.2).

Required Return on Debt

To approximate the Company's long-term cost of debt, we use the average of B and BB corporate bond rates in effect as of the Valuation

Date (i.e., 9.69%). We also apply a 27% income tax rate to reflect the deductibility of interest expense, which suggests a long-term after-tax required return on debt of 7.08% as applicable to the Company (see Exhibit D.2).

Capital Structure

To estimate an appropriate long-term capital structure for the Company, we considered typical capital structures within the industry, NYDG's actual capital structure (which includes \$2.3 million of interest bearing debt as of the valuation date), and the Company's Borrowing Capacity.

Applying the previously determined estimates of the Company's required rates of return on equity and debt to NYDG's estimated long-term capital structure suggests a WACC applicable to NYDG's debt-free distributable cash flows of 16.5% (see Schedule D.2).

Indication of Value

Based on the financial projections and required rate of return discussed above, we estimate the enterprise value of NYDG, based on the Discounted Cash Flow Method, to be \$13.16 million (see Schedule D.1).

Section VII

*Reconciliation of Valuation Methods and
Conclusion*

A corporation's value is comprised of the market's assessment of the predominant factors of value. The influence of each factor may vary among particular companies and from year-to-year for the same company. Section 5(a) of IRS Revenue Ruling 59-60 states:

In general, the appraiser will accord primary consideration to earnings when valuing stocks of companies which sell products and services to the public; conversely, in the investment or holding type of company, the appraiser may accord the greatest weight to the assets underlying the security to be valued.

As such, when valuing a company on a going-concern basis such as NYDG, earnings normally are given the primary consideration. Earnings are ultimately the source of all value, reflected either in dividends paid or in retained earnings, which are realized upon sale. Earnings are emphasized in our application of the Discounted Cash Flow Method and the Guideline Transaction Method. These methods utilize market data in the derivation of a value estimate and are forward-looking in nature. The Guideline Transaction Method utilize pricing multiples that are based on the market's assessment of future performance, while the Discounted Cash Flow Method utilizes a market-derived WACC to capitalize anticipated performance.

The enterprise values of NYDG suggested by the Guideline Transaction and Discounted Cash Flow Methods are \$12.97 million, and \$13.16 million, respectively. In light of the consistency in suggested values, we find that each method is an appropriate indicator of value.

Based thereon, we estimate NYDG's enterprise value to be \$13.07 million. This estimate of value implicitly incorporates consideration to each valuation methodology utilized, as follows:

Reconciliation of Valuation Methods		
Valuation Method	Weighting	Indication of Value
Guideline Transaction Method	50.0%	\$ 12,970,000
Discounted Cash Flow Method	50.0%	13,160,000
Indicated Enterprise Value		\$ 13,070,000

The selected value above represents enterprise value, including the value of both debt and equity. As such, it is appropriate to subtract NYDG's interest-bearing debt (net of cash, cash equivalents, and non-operating investments) to derive the value of the Company's equity. NYDG currently has \$2.3 million of interest-bearing debt, \$97,000 of cash and cash equivalents, \$53,000 of non-operating assets and \$(158,000) of non-operating liabilities. Adjusting the selected enterprise value for these amounts suggests an equity value, as of April 30, 2025, of \$11.1 million, as follows:

Value of Equity	
Enterprise Value	\$ 13,070,000
Less: Interest-Bearing Debt	(2,301,926)
Plus: Cash and Cash Equivalents	97,146
Plus: Non-Operating Assets	52,900
Less: Non-Operating Liabilities	158,364
Indicated Equity Value (Rounded)	\$ 11,100,000

This valuation is subject to the assumptions and limiting conditions outlined below.

Exhibit A

Assumptions and Limiting Conditions

ASSUMPTIONS AND LIMITING CONDITIONS

This valuation report is subject to the following assumptions and limiting conditions:

- §1 Our conclusion of value is applicable to the specific interest being valued for the stated date and purpose only, and may not be appropriate for any other date or purpose. Any other use of this report may lead the user to an incorrect conclusion for which WRV assumes no responsibility.
- §2 This report and our conclusion of value are for the exclusive use of our client for the sole and specific purposes as noted herein. They may not be used for any other purposes or by any other party for any purpose. Furthermore, the opinions expressed herein are not intended to be investment advice and should in no way be construed as such. This report is neither an offer to sell, nor a solicitation to buy securities, and/or equity in, or assets of, the subject company. Furthermore, this report does not constitute a “fairness opinion” or “solvency opinion” regarding any contemplated present or future transaction.
- §3 Financial statements and other information provided by the Company or its representatives have been accepted without any verification as fully and correctly reflecting the Company’s business conditions and operating results for the respective periods, except as specifically noted herein. WRV has not audited, reviewed, or compiled the information provided to us in accordance with standards established by the American Institute of Certified Public Accountants. Accordingly, we do not express an opinion or any other form of assurance thereon.
- §4 Public information contained in this report have been obtained from sources considered reliable; however, we make no representation as to the accuracy or completeness of such information and have performed no procedures to verify such information.
- §5 Business valuations are based upon assumptions regarding future earning potential, and/or certain asset values, that may or may not materialize. All financial projections and forecasts presented in this report are included solely to assist in the development of the value conclusion presented in this report. These presentations do not include all disclosures required by the guidelines established by the American Institute of Certified Public Accountants for the presentation of a financial forecast or projection. We have not compiled or examined these presentations and express no assurance on them. Further, WRV does not provide assurance on the achievability of any forecasted, projected, or estimated future results contained in this report. Events and circumstances frequently do not occur as expected, and actual results achieved may differ materially from expected results.
- §6 WRV makes no guarantees as to what values individual buyers and sellers may reach in an actual transaction.
- §7 This valuation assumes that the Company will be competently managed and maintained by financially sound owners over the expected period of ownership. This appraisal does not entail an evaluation of management’s effectiveness, nor is WRV responsible for future marketing efforts and other management or ownership actions upon which actual results will depend.
- §8 WRV is not, by reason of performing this valuation and preparing this report, required to give expert testimony nor be in attendance in court or at any government hearing with reference to the matters contained herein. We are committed to supporting the valuation report provided compensation arrangements for such additional services have been made.
- §9 For the purpose of this engagement and report, no investigation of titles to property or any claims on ownership of the property by any individuals or company has been undertaken. Unless otherwise stated in our report, titles are assumed to be clear and free of encumbrances and as provided to the appraiser. The owner’s claims to the business and its assets are assumed to be valid. It is also assumed that any underlying assets will not operate in violation of any applicable government regulations, codes, ordinances, or statutes.

ASSUMPTIONS AND LIMITING CONDITIONS (continued)

- §10 Our conclusion of value assumes the assets and liabilities presented in the Company's December 31, 2024 balance sheet were intact as of that date and were not materially different than on the Valuation Date. Any change in the level of assets or liabilities could cause a change in the value we estimated. Furthermore, we assume there are no hidden or unexpected conditions that would adversely affect the value we estimated.
- §11 WRV has not taken into account any and all future environmental considerations and potential liability in developing the opinion of value stated in this report.
- §12 Our services, this Appraisal Report (as defined by Standard 10, "Business Appraisal, Reporting" of the Uniform Standards of Professional Appraisal Practice), and the opinions expressed herein are provided exclusively for the use of the addressee for the purpose stated herein, and are not to be referred to or distributed, in whole or in part, without our prior written consent. As such, possession of this report, or a copy thereof, does not carry with it the right of publication of all or part of it.
- §13 No opinion is intended to be expressed for matters that require legal or other specialized expertise, investigation, or knowledge beyond that customarily employed by appraisers valuing businesses.
- §14 WRV does not purport to be a guarantor of value; therefore, we make no guarantees as to what values individual buyers and sellers may reach in an actual transaction.
- §15 In all matters that may be potentially challenged by a court, a regulatory agency, or others, WRV does not take responsibility for the degree of reasonableness of contrary positions that others may choose to take, nor the costs or fees that may be incurred in the defense of our recommendations against challenges.
- §16 This valuation contemplates facts and conditions that are known or knowable as of the Valuation Date. Events and conditions occurring after the Valuation Date have not been considered, and WRV has no responsibility or obligation to update this report for such events and conditions.
- §17 WRV has assumed that the Company continues to operate as a going concern and that there are no hidden or unexpected conditions that would adversely affect value, other than as indicated in this report.
- §18 Unless otherwise provided for in writing and agreed to by both parties in advance, the extent of the liability for the completeness or accuracy of the data, opinions, comments, recommendations, and/or conclusions shall not exceed the amount paid to the appraisers for professional fees and then, only to the party(s) for whom this report was originally prepared.
- §19 By accepting this report, the client acknowledges the terms and indemnity provisions provided in the executed engagement letter and the assumptions and limiting conditions contained herein.

Exhibit B

Qualifications of Valuation Professionals and Representations

DAVID C. ORTH

Mr. Orth co-founded WRV in 2024. Prior to 2024, Mr. Orth was a Managing Director at Citizens Bank, the first major U.S. bank with a valuation practice. From 2010 to 2019, he was the Northeast Ohio valuation leader for Ernst & Young and the head of their global technical committee for four years. Prior to Ernst & Young, Mr. Orth began his business valuation career at Empire Valuation Consultants where he worked from 1998 until 2010. Mr. Orth provides business valuation services across a wide range of sectors including technology, consumer products, healthcare, diversified industrial products and manufacturing companies, among others.

Mr. Orth has performed valuations for entities ranging from start-ups to Fortune 500 companies and has been involved in dozens of transactions valued at greater than \$1 billion. He has performed or reviewed thousands of valuations over his 27-year career for financial reporting, tax reporting, strategic planning, and litigation purposes. He has performed equity and asset valuations for a variety of purposes, including:

- Financial Reporting under ASC 350, 360, 805, 820, 718, and IRC 409A
- Business Succession Planning
- Buy/Sell Agreements
- Fairness and Solvency Opinions
- Employee Stock Ownership Plans (ESOPs)
- Estate, Gift and Federal Tax Purposes
- Mergers and Acquisitions

Mr. Orth earned his B.A. in English from SUNY Buffalo and his MBA with a finance concentration from Canisius College in Buffalo, New York.

MAXIMILIAN GÓMEZ, AM

Mr. Gómez joined WRV in 2022. Prior to joining WRV he served at Glouston Capital Partners and Reynders, McVeigh Capital Management. Mr. Gómez earned a B.A. in Economics from Dartmouth College in Hanover, New Hampshire.

Mr. Gómez has performed or contributed to various valuation engagements involving businesses, business interests, and intangible assets of privately held and publicly traded companies. These engagements have been performed for numerous purposes including estate and gift taxation, business succession planning, fairness opinions, employee stock ownership plans, purchase price allocations, mergers and acquisitions, cross-border purchase accounting, international tax restructuring, and other tax, litigation, and corporate-related matters.

These engagements have been performed for companies in a variety of industries including: financial services, restaurants and food service, software and technology, engineering, manufacturing, wholesale and distribution, construction, professional practices, healthcare, and holding company and estate planning vehicles.

Mr. Gómez is an Accredited Member (AM) of the American Society of Appraisers and has taken the following continuing education courses related to business valuation:

American Society of Appraisers (ASA):

- BV-201: Introduction to Business Valuation, Market Approach – 30 hours including successful completion of the 3-hour examination
- BV-202: Introduction to Business Valuation, Income Approach – 30 hours including successful completion of the 3-hour examination
- BV-203: Introduction to Business Valuation, Asset Approach, Discounts & Premiums – 30 hours including successful completion of the 3-hour examination
- BV-204: Advanced Topics in Business Valuation – 30 hours including successful completion of the 3-hour examination
- SE-100: National Uniform Standards of Professional Appraisal Practice (USPAP) – 15 hours including successful completion of the 1-hour examination

Education and Affiliations:

- Bachelor of Arts (BA) in Economics: Dartmouth College – Hanover, NH
- American Society of Appraisers (ASA) Accredited Member – Columbus Chapter

REPRESENTATIONS

We represent that, to the best of our knowledge and belief:

- The statements of fact contained in this report are true and correct;
- The persons signing this report are in good standing with the educational, training, quality control, and ethical requirements of the American Society of Appraisers;
- This report and supporting analyses and underlying documentation was prepared in compliance with the Mandatory Performance Framework and the Application of the Mandatory Performance Framework;
- The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions, and represent the unbiased professional analyses, opinions, and conclusions of WRV;
- WRV has not performed services, as appraisers, regarding the business or property that is the subject of this report within a three year period immediately preceding acceptance of this assignment;
- WRV has no bias with respect to the business or property that is the subject of this Report or to the parties involved with this assignment.
- Neither WRV nor the undersigned have a present or prospective interest in the business that is the subject of this report, and we have no personal interest or bias with respect to the parties involved in this engagement;
- Our compensation for completing this engagement is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal;
- The economic and industry data included in the valuation report have been obtained from various printed or electronic reference sources that the valuation analyst believes to be reliable. WRV has not performed any corroborating procedures to substantiate that data.
- Our analyses, opinions, and conclusions were developed, and this report was prepared, in conformity with the Uniform Standards of Professional Appraisal Practice of The Appraisal Foundation and endorsed by the American Society of Appraisers, the Principles of Appraisal Practice and Code of Ethics of the American Society of Appraisers, the American Institute of Certified Public Accountants Statement on Standards for Valuation Services, and various other professional standards of the organizations to which our professionals belong;
- WRV has no obligation to update the report or the opinion of value for information that comes to WRV' attention after the date of the report; and
- No one provided significant professional assistance to the persons signing this report except as indicated below. In addition to the undersigned, Maximilian Gómez provided significant professional assistance in the preparation of this valuation report.



David C. Orth
Managing Partner

Exhibit C

Valuation Schedules

David Colbert MD, PC d/b/a New York Dermatology Group

Equity Valuation Analysis

Table of Contents

As of April 30, 2025

Reference	Title
Schedule A	Summary of Values
Schedule B.1	Historical Balance Sheet
Schedule B.2	Historical Income Statement
Schedule B.3	Adjusted Historical Income Statement
Schedule B.4	Financial Highlights and Ratio Analysis
Schedule C.1	Guideline Transaction Method
Schedule C.2	Guideline Transactions
Schedule C.3	Guideline Transaction Descriptions
Schedule D.1	Discounted Cash Flow Method
Schedule D.2	Weighted Average Cost of Capital - DCF

Equity Valuation Analysis

Summary of Values

As of April 30, 2025

Valuation Method	Weighting		Value
Guideline Transaction Method	50.0%	\$	12,970,000
Discounted Cash Flow Method	50.0%		13,160,000
Indicated Enterprise Value		\$	13,070,000
Less: Interest-Bearing Debt			(2,301,926)
Plus: Cash and Cash Equivalents			97,146
Plus: Non-Operating Assets (a)			52,900
Less: Non-Operating Liabilities (b)			158,364
Concluded FMV of Equity Value (Rounded)			\$ 11,100,000

Footnotes:

FMV = Fair Market Value.

(a) Non-Operating Assets consist of Loan to Shareholder

(b) Non-Operating Liabilities consist of Shareholder Loans

Equity Valuation Analysis

Historical Balance Sheet

As of April 30, 2025

	For the Year Ended			Common Size		
	* Tax Returns *	* Tax Returns *	* Tax Returns *	* Tax Returns *	* Tax Returns *	* Tax Returns *
	12/31/2022	12/31/2023	12/31/2024	12/31/2022	12/31/2023	12/31/2024
Assets						
Current Assets						
Cash	\$ 124,748	\$ 12,233	\$ 97,146	4.2%	0.5%	3.5%
Total Current Assets	124,748	12,233	97,146	4.2%	0.5%	3.5%
Property and Equipment						
Buildings and Improvements	8,996,436	6,642,542	5,641,127	300.6%	289.7%	203.2%
Machinery and Equipment	-	-	1,214,892	0.0%	0.0%	43.8%
Gross Property and Equipment	8,996,436	6,642,542	6,856,019	300.6%	289.7%	246.9%
Less: Accumulated Depreciation	(6,706,187)	(4,445,398)	(4,735,941)	-224.1%	-193.9%	-170.6%
Net Property and Equipment	2,290,249	2,197,144	2,120,078	76.5%	95.8%	76.4%
Other Assets						
Intangible Assets, Net	6,345	5,145	-	0.2%	0.2%	0.0%
Loan to Shareholder	532,642	-	52,900	17.8%	0.0%	1.9%
Other Assets	38,750	78,350	506,237	1.3%	3.4%	18.2%
Total Other Assets	577,737	83,495	559,138	19.3%	3.6%	20.1%
Total Assets	\$ 2,992,734	\$ 2,292,872	\$ 2,776,362	100.0%	100.0%	100.0%
Liabilities and Shareholders' Equity						
Current Liabilities						
Current Portion of Term Loan	\$ 821,107	\$ -	\$ 2,301,926	27.4%	0.0%	82.9%
Credit Cards Payable	-	-	123,025	0.0%	0.0%	4.4%
Other Current Liabilities	163,296	85,400	25,486	5.5%	3.7%	0.9%
Total Current Liabilities	984,403	85,400	2,450,438	32.9%	3.7%	88.3%
Long-Term Liabilities						
Term Loan	2,127,913	2,518,256	-	71.1%	109.8%	0.0%
Shareholder Loans	-	-	(158,364)	0.0%	0.0%	-5.7%
Other Liabilities	911,692	-	325,244	30.5%	0.0%	11.7%
Total Long-Term Liabilities	3,039,605	2,518,256	166,880	101.6%	109.8%	6.0%
Total Liabilities	4,024,008	2,603,656	2,617,318	134.5%	113.6%	94.3%
Total Shareholders' Equity	(1,031,274)	(310,784)	159,044	-34.5%	-13.6%	5.7%
Total Liabilities & Shareholders' Equity	\$ 2,992,734	\$ 2,292,872	\$ 2,776,362	100.0%	100.0%	100.0%

Source of certain information: Management.

Equity Valuation Analysis
Historical Income Statement
As of April 30, 2025

	For the Year Ended			Common Size		
	* Tax Returns *	* Tax Returns *	* Tax Returns *	* Tax Returns *	* Tax Returns *	* Tax Returns *
	12/31/2022	12/31/2023	12/31/2024	12/31/2022	12/31/2023	12/31/2024
Revenue	\$ 9,793,486	\$ 9,636,246	\$ 10,814,238	100.0%	100.0%	100.0%
Cost of Goods Sold	(1,458,682)	-	-	-14.9%	0.0%	0.0%
Gross Profit	8,334,804	9,636,246	10,814,238	85.1%	100.0%	100.0%
Operating Expenses						
Officer Compensation	-	25,000	1,995,215	0.0%	0.3%	18.4%
Contract Labor	1,839,124	-	33,755	18.8%	0.0%	0.3%
Salaries and Wages	1,062,353	2,661,502	2,847,936	10.8%	27.6%	26.3%
Repairs and Maintenance	60,039	5,351	16,026	0.6%	0.1%	0.1%
Rent	2,020,429	1,821,597	1,228,312	20.6%	18.9%	11.4%
Taxes and Licenses	164,538	154,847	629,513	1.7%	1.6%	5.8%
Depreciation & Amortization	82,552	89,360	426,304	0.8%	0.9%	3.9%
Advertising	204,111	105,006	53,660	2.1%	1.1%	0.5%
Pension, Profit Sharing, Benefits	49,690	70,387	2,975	0.5%	0.7%	0.0%
Supplies	1,501,890	1,492,744	2,198,710	15.3%	15.5%	20.3%
Dues and Subscriptions	32,657	-	-	0.3%	0.0%	0.0%
Donations /Gifts	-	192	5,198	0.0%	0.0%	0.0%
Automobile Expenses	-	31,039	31,209	0.0%	0.3%	0.3%
Equipment Lease	4,508	11,337	3,554	0.0%	0.1%	0.0%
Insurance	104,531	53,771	216,667	1.1%	0.6%	2.0%
Bank Charges	275,325	210,148	280,646	2.8%	2.2%	2.6%
Continuing Education	4,154	-	-	0.0%	0.0%	0.0%
Travel and Entertainment	136,172	68,264	30,900	1.4%	0.7%	0.3%
Office Expense	198,109	284,404	253,199	2.0%	3.0%	2.3%
Utilities	135,749	96,847	107,203	1.4%	1.0%	1.0%
Telephone	-	38,700	38,559	0.0%	0.4%	0.4%
Professional Fees	223,285	2,108,121	89,326	2.3%	21.9%	0.8%
Miscellaneous	44,414	-	-	0.5%	0.0%	0.0%
Total Operating Expenses	(8,143,630)	(9,328,617)	(10,488,865)	-83.2%	-96.8%	-97.0%
EBIT	191,174	307,629	325,372	2.0%	3.2%	3.0%
Depreciation	81,352	88,460	421,089	0.8%	0.9%	3.9%
Amortization	1,200	900	5,215	0.0%	0.0%	0.0%
EBITDA	273,726	396,989	751,676	2.8%	4.1%	7.0%
Other Income / (Expense)						
Interest Income	2,136	-	-	0.0%	0.0%	0.0%
Interest Expense	(220,226)	(172,562)	(148,544)	-2.2%	-1.8%	-1.4%
Other Income / (Expense)	19,500	46,837	(25,836)	0.2%	0.5%	-0.2%
Total Other Income / (Expense)	(198,590)	(125,725)	(174,380)	-2.0%	-1.3%	-1.6%
Income Before Taxes	(7,416)	181,904	150,992	-0.1%	1.9%	1.4%
Other Items:						
Capital Expenditures - Net	8,996,436	(2,353,894)	213,477	91.9%	-24.4%	2.0%
Depreciation and Amortization	82,552	89,360	426,304	0.8%	0.9%	3.9%
Dividends/Distributions	436,817	334,903	n/a	4.5%	3.5%	0.0%
Calculated Metrics:						
Revenue Growth	n/a	-1.6%	12.2%			
Gross Margin	85.1%	100.0%	100.0%			
EBITDA Growth	n/a	45.0%	89.3%			
EBITDA Margin	2.8%	4.1%	7.0%			
Depreciation as a % of Revenue	0.8%	0.9%	3.9%			
Amortization as a % of Revenue	0.0%	0.0%	0.0%			
EBIT Growth	n/a	60.9%	5.8%			
EBIT Margin	2.0%	3.2%	3.0%			
Capital Expenditures as a % of Revenue	91.9%	-24.4%	2.0%			

Footnotes:

EBITDA = Earnings Before Interest, Taxes, Depreciation and Amortization; EBIT = Earnings Before Interest and Taxes.

Source of certain information: Management.

Equity Valuation Analysis

Adjusted Historical Income Statement

As of April 30, 2025

	For the Year Ended		
	* Tax Returns *	* Tax Returns *	* Tax Returns *
	12/31/2022	12/31/2023	12/31/2024
Reported Income Before Taxes	\$ (7,416)	\$ 181,904	\$ 150,992
Normalization Adjustments			
Excess Officer Salaries	-	-	1,346,360
Car Insurance Expenses	-	-	922
Travel, Meals, and Entertainment	171,194	95,800	33,617
Other Income	(19,500)	(46,837)	25,836
Total Normalization Adjustments	151,694	48,963	1,406,735
Adjusted Income Before Taxes	144,278	230,867	1,557,727
less: Income Taxes @ 27%	(38,955)	(62,334)	(420,586)
Adjusted Net Income	105,323	168,533	1,137,141
Plus: Depreciation	81,352	88,460	421,089
Plus: Amortization	1,200	900	5,215
Adjusted Gross Cash Flow	187,875	257,893	1,563,445
Plus: Income Taxes	38,955	62,334	420,586
Less: Interest Income	(2,136)	-	-
Plus: Interest Expense	220,226	172,562	148,544
Adjusted EBITDA	444,920	492,789	2,132,575
Plus: Depreciation	(81,352)	(88,460)	(421,089)
Plus: Amortization	(1,200)	(900)	(5,215)
Adjusted EBIT	362,368	403,429	1,706,271
Calculated Metrics:			
Adjusted EBITDA Growth	n/a	10.8%	332.8%
Adjusted EBITDA Margin	4.5%	5.1%	19.7%
Adjusted EBIT Growth	n/a	11.3%	322.9%
Adjusted EBIT Margin	3.7%	4.2%	15.8%

Footnotes:

EBITDA = Earnings Before Interest, Taxes, Depreciation and Amortization; EBIT = Earnings Before Interest and Taxes.

Source of certain information: Management.

Equity Valuation Analysis

Financial Highlights and Ratio Analysis

As of April 30, 2025

	For the Year Ended			3-Yr Average (b)	Weighted Average
	* Tax Returns *	* Tax Returns *	* Tax Returns *		
	12/31/2022	12/31/2023	12/31/2024		
<u>Financial Statistics</u>					
Revenue	\$ 9,793,486	\$ 9,636,246	\$ 10,814,238	\$ 10,081,323	\$ 10,251,448
Assets	2,992,734	2,292,872	2,776,362	2,687,323	2,651,261
Equity	(1,031,274)	(310,784)	159,044	(394,338)	(195,952)
CFDFNWC	(163,296)	(85,400)	(148,511)	(132,402)	(129,938)
Interest-Bearing Debt	2,949,020	2,518,256	2,301,926	2,589,734	2,481,885
Capital Expenditures	8,996,436	(2,353,894)	213,477	2,285,340	821,513
EBIT (a)	362,368	403,429	1,706,271	824,023	1,048,007
EBITDA (a)	444,920	492,789	2,132,575	1,023,428	1,304,704
<u>Growth</u>					
Revenue	n/a	-1.6%	12.2%	5.1%	n/a
EBITDA	n/a	10.8%	332.8%	118.9%	n/a
<u>Activity</u>					
Asset Turnover	3.3	4.2	3.9	3.8	3.9
<u>Liquidity and Working Capital</u>					
Current Ratio	0.1	0.1	0.0	0.1	0.1
CFDFNWC / Revenue	-1.7%	-0.9%	-1.4%	-1.3%	-1.3%
<u>Leverage and Coverage</u>					
Liabilities / Equity	(3.9)	(8.4)	16.5	1.4	4.8
Debt / (Debt + Equity)	153.8%	114.1%	93.5%	120.5%	110.4%
Assets / Equity	(2.9)	(7.4)	17.5	2.4	5.8
<u>Profitability</u>					
EBITDA Margin (a)	4.5%	5.1%	19.7%	9.8%	12.3%
EBIT Margin (a)	3.7%	4.2%	15.8%	7.9%	9.9%
EBITDA / Assets (a)	14.9%	21.5%	76.8%	37.7%	48.0%
EBITDA / Equity (a)	-43.1%	-158.6%	1340.9%	379.7%	610.4%
Return on Assets (a)	3.5%	7.4%	41.0%	17.3%	23.5%
Return on Equity (a)	-10.2%	-54.2%	715.0%	216.8%	337.7%
<u>Other Ratios</u>					
Depreciation / Revenue	0.8%	0.9%	3.9%	1.9%	2.4%
Capital Expenditures / Revenue	91.9%	-24.4%	2.0%	23.1%	8.2%
<u>DuPont Analysis</u>					
Net Profit Margin (a)	1.1%	1.7%	10.5%	4.4%	6.0%
x Assets / Equity	(2.9)	(7.4)	17.5	2.4	5.8
x Asset Turnover	3.3	4.2	3.9	3.8	3.9
Return on Equity	-10.2%	-54.2%	715.0%	216.8%	337.7%

Footnotes:

CFDFNWC = Cash-Free, Debt-Free Net Working Capital; EBITDA = Earnings Before Interest, Taxes, Depreciation and Amortization; EBIT = Earnings Before Interest and Taxes.

(a) Based on adjusted income, per the normalization adjustments provided by Management. Refer to Schedule B.3 for additional information.

(b) Average growth rates represent compound annual growth rates for the historical period.

Period	Measure of Performance	Company Results	Selected Multiple	Enterprise Value	Weighting	Weighted Enterprise Value
LFY	EV / Revenue - Low Scenario	\$ 10,810,000	x 1.10x	= \$ 11,891,000	x 25.0%	= \$ 2,972,750
NFY	EV / Revenue - High Scenario	12,131,107	x 1.00x	= 12,131,107	x 25.0%	= 3,032,777
LFY	EV / EBITDA - Low Scenario	2,102,000	x 6.50x	= 13,663,000	x 25.0%	= 3,415,750
NFY	EV / EBITDA - High Scenario	2,392,263	x 6.00x	= 14,353,576	x 25.0%	= 3,588,394
					Total	13,009,671
				Add: Excess / (Deficit) Net Working Capital (a)		(40,369)
				Concluded Enterprise Value (Rounded)		\$ 12,970,000

(a) Calculated as the actual NWC balance less the normalized NWC balance (based on LFY revenue), as of the Valuation Date.

Equity Valuation Analysis

Guideline Transactions

As of April 30, 2025

	Acquired Company	Deal Price	Revenue	EBITDA	EBITDA Margin	Deal Price / Revenue	Deal Price / EBITDA
1	n/a	\$ 6,000,000	\$ 9,474,065	\$ 928,989	9.8%	0.63x	6.46x
2	SOC Telemed, Inc.	387,777,000	94,442,000	(46,986,000)	-49.8%	n/m	n/m
3	n/a	1,600,000	3,006,431	7,021	0.2%	0.53x	n/m
4	Medical Health-Care Management	360,504,000	62,343,097	2,064,693	3.3%	n/m	n/m
5	CRH Medical Corporation	422,149,319	106,172,165	33,902,355	31.9%	n/m	12.45x
6	n/a	1,600,000	1,830,993	85,437	4.7%	0.87x	18.73x
7	n/a	5,100,000	12,251,636	1,809,067	14.8%	0.42x	2.82x
8	Access Physicians Management Services	186,851,000	27,100,158	(750,999)	-2.8%	n/m	n/m
9	n/a	100,000	2,006,056	n/a	n/a	0.05x	n/a
10	Arizona Vein and Vascular Center, LLC	24,379,000	20,042,816	7,763,282	38.7%	1.22x	3.14x
11	n/a	9,000,000	7,660,036	1,520,885	19.9%	1.17x	5.92x
12	n/a	1,975,000	2,376,148	n/a	n/a	0.83x	n/a
13	n/a	3,850,000	2,350,000	n/a	n/a	1.64x	n/a
14	n/a	6,800,000	3,692,700	1,266,886	34.3%	1.84x	5.37x
15	n/a	1,200,000	3,020,968	n/a	n/a	0.40x	n/a
16	n/a	946,261	1,677,302	n/a	n/a	0.56x	n/a
	High	\$ 422,149,319	\$ 106,172,165	\$ 33,902,355	38.7%	1.84x	18.73x
	Upper Quartile	64,997,000	21,807,152	1,936,880	25.9%	1.19x	9.46x
	Median	5,550,000	5,676,368	1,266,886	9.8%	0.73x	5.92x
	Lower Quartile	1,600,000	2,369,611	46,229	1.8%	0.50x	4.25x
	Low	100,000	1,677,302	(46,986,000)	-49.8%	0.05x	2.82x

Footnotes:

EBITDA = Earnings Before Interest, Taxes, Depreciation and Amortization.

(a) Source: Pratt Stats and Capital IQ as of the Valuation Date.

Equity Valuation Analysis

Guideline Transaction Descriptions

As of April 30, 2025

	Acquired Company	State	Year	SIC	Business Description
1	n/a	AR	2016	8011	Health Clinic
2	SOC Telemed, Inc.	VA	2022	8011	Provider of Telemedicine Services and Technology to
3	n/a	CA	2016	8011	Pediatric Care and Clinical Research
4	Medical Health-Care	n/a	2018	8011	Provides Health Care Services Such as Expert Medical
5	CRH Medical	BC	2021	8011	Anesthesiology Services
6	n/a	FL	2020	8011	Anesthesiologists Office
7	n/a	SC	2021	8011	Medical Practice
8	Access Physicians	TX	2021	8011	Provides Telemedicine Services, In-Person Physician
9	n/a	FL	2016	8011	Medical Practice
10	Arizona Vein and	AZ	2016	8011	Vein Clinics and Podiatry Centers Operator
11	n/a	PA	2021	8011	Pediatric Practice
12	n/a	FL	2022	8011	Medical Clinic
13	n/a	FL	2022	8011	Medical Clinic
14	n/a	IN	2024	8011	Medical Practice (Three Locations)
15	n/a	CA	2024	8011	Medical Examiner Group
16	n/a	TX	2020	8011	Dermatology Practice

Equity Valuation Analysis

Discounted Cash Flow Method

As of April 30, 2025

	For the Fiscal Year Ending															
	Year 1 (a) 12/31/2025		Year 2 12/31/2026		Year 3 12/31/2027		Year 4 12/31/2028		Year 5 12/31/2029		Year 6 12/31/2030		Year 7 12/31/2031		Residual Period	
Revenue	\$	8,142,798	\$	12,579,958	\$	13,057,997	\$	13,580,317	\$	14,055,628	\$	14,561,630	\$	14,998,479	\$	15,448,434
Less: Operating Expenses		(6,537,033)		(10,063,967)		(10,446,397)		(10,864,253)		(11,244,502)		(11,649,304)		(11,998,783)		(12,358,747)
Adjusted EBITDA		1,605,765		2,515,992		2,611,599		2,716,063		2,811,126		2,912,326		2,999,696		3,089,687
Less: Tax Depreciation		(81,679)		(182,689)		(229,541)		(251,891)		(270,743)		(296,215)		(325,985)		(299,970)
EBIT		1,524,087		2,333,302		2,382,058		2,464,172		2,540,383		2,616,111		2,673,711		2,789,717
Income Taxes @ 27.0%		(411,503)		(629,992)		(643,156)		(665,326)		(685,903)		(706,350)		(721,902)		(753,224)
Debt-Free Net Income		1,112,583		1,703,311		1,738,902		1,798,846		1,854,480		1,909,761		1,951,809		2,036,494
Adjustments:																
Plus: Tax Depreciation		81,679		182,689		229,541		251,891		270,743		296,215		325,985		299,970
Less: Capital Expenditures		(162,856)		(251,599)		(261,160)		(271,606)		(281,113)		(291,233)		(299,970)		(308,969)
Less: Additional Working Capital		13,169		4,489		4,780		5,223		4,753		5,060		4,368		4,500
Distributable Cash Flow		1,044,575		1,638,889		1,712,064		1,784,354		1,848,863		1,919,803		1,982,193		2,031,994
Discount Period		0.3356		1.1712		2.1712		3.1712		4.1712		5.1712		6.1712		
Present Value Factor @ 16.5%		0.9500		0.8362		0.7178		0.6161		0.5289		0.4540		0.3897		
Present Value of Distributable Cash Flow		992,383		1,370,461		1,228,884		1,099,375		977,786		871,505		772,384		
Present Value of Cash Flows (Years 1 to 7)		7,312,778								Residual Cash Flow						2,031,994
Present Value of Residual Cash Flow		5,865,107														
Add: Excess / (Deficit) Net Working Capital (b)		(40,369)								Discount Rate						16.5%
Add: Bonus Depreciation Adjustment		10,629								Less: Residual Growth Rate						-3.0%
Add: Residual Tax Depreciation Adjustment		9,774								Capitalization Rate						13.5%
Enterprise Value		13,157,920														
Concluded Enterprise Value (Rounded)	\$	13,160,000								Residual Cash Flow Value						15,051,807
										Present Value Factor						0.3897
										Present Value of Residual						5,865,107

Financial Metrics

[illegible]

Footnotes:

EBITDA = Earnings Before Interest, Taxes, Depreciation and Amortization; EBIT = Earnings Before Interest, and Taxes; NOL = Net Operating Losses; NWC = Net Working Capital; SG&A = Selling, General and Administrative.

(a) Metrics represent the partial period remaining in Year 1.

(b) Calculated as the actual NWC balance less the normalized NWC balance (based on LFY revenue), as of the Valuation Date.

Equity Valuation Analysis
Weighted Average Cost of Capital - DCF
As of April 30, 2025

Cost of Equity

Selected Beta (a)	1.00
Risk-Free Rate (b)	4.7%
Equity Risk Premium (c)	6.0%
Small Stock Risk Premium (d)	7.6%
Unsystematic Risk Premium (e)	2.0%

Cost of Equity	20.3%
----------------	-------

Cost of Debt

Pre-Tax Debt Borrowing Rate (f)	9.7%
Expected Income Tax Rate (g)	27.0%

Cost of Debt	7.1%
--------------	------

Weighted Average Cost of Capital

Equity Weighting	70.0%
Cost of Equity	20.3%
Debt Weighting	30.0%
Cost of Debt	7.1%

Weighted Average Cost of Capital	16.3%
----------------------------------	-------

Rounded	16.5%
---------	-------

Footnotes:

- (a) Overall beta of the market utilized (industry specific risk embeded within risk premiums below).
- (b) Based on the yield of the 20-year US Treasury composite as of the Valuation Date. Source: Capital IQ.
- (c) Based on a study of historical risk premia published in Kroll's Cost of Capital Navigator, and various professional literature and studies attempting to quantify an appropriate estimate of the forward-looking premium.
- (d) Based on the 10B decile from the Kroll's Cost of Capital Navigator as of the Valuation Date.
- (e) Based on company-specific risk factors not captured in the equity risk premium or the small stock risk premium.
- (f) Based on the 20-year BB-/B+ rated corporate bond yield as of the Valuation Date. Source: Capital IQ.
- (g) Based on the expected corporate income tax rate.